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June 23, 2014
FEDERAL MARITIME COMMISSION

FEDERAL MARITIME COMMISSION

INFORMAL DOCKET NO. 1932(I)

SAMIR ABUSETTA DBA
SAMMY'S AUTO SALES,

Claimant,

v.

JAX AUTO SHIPPING INC. AND
MARINE TRANSPORT LOGISTICS, INC.,

Respondents.

DECISION

Decision of Philip Lee, Settlement Officer¹

Reparations denied.

This informal docket (the "Claim") was filed by Samir Abusetta dba Sammy's Auto Sales (the "Claimant") against Respondents Jax Auto Shipping Inc. ("Jax") and Marine Transport Logistics, Inc. ("MTL"). The Claim, which alleges violations of 46 U.S.C. §§ 41104(2)(a) and 41102(c) of the Shipping Act of 1984 (the "Act"), arises from a transaction in which the vehicles tendered for shipment by the Claimant were ultimately auctioned by a warehouse storing them. The Claimant alleges that the action(s) of the Respondents led to the loss of his vehicles and he seeks reparations in the amount of \$25,130.

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of the date of service.

Both Respondents timely filed answers and consented to the Federal Maritime Commission's ("FMC") informal procedure for adjudication of small claims. The previously designated settlement officer subsequently requested and received supplemental information from each respective party. Based on a review of the various submissions of the parties and the applicable law, this Settlement Officer finds that the Claimant is not entitled to reparations.

I. BACKGROUND

According to the Claim, the Claimant is a "sole proprietorship DBA Auto Dealer that sells cars wholesale and retails for local individuals or abroad" and Jax is an "Incorporation doing business as shipping company[.]" The Claimant hired Jax, who in turn engaged MTL, to arrange for the transportation of eight vehicles. Jax instructed the Claimant to deliver the vehicles to a warehouse in New Jersey designated by MTL, which is an FMC-licensed non-vessel operating common carrier ("NVOCC"). Pursuant to those instructions, the Claimant's vehicles were delivered on staggered dates to World Express and Connection ("WEC"), which is the warehouse where they were inspected and stored for future loading.

The Claimant states that he paid Jax \$5,000 to have the vehicles loaded into two containers and shipped to Jordan. After the vehicles were tendered, Jax provided a status update in which the Claimant was informed that he had a \$2,500 credit.² The Claimant discovered that only one container was shipped as the other was not loaded because of a missing car title.³ The e-mails between the parties indicate that four vehicles, which included a Chevrolet Aveo, remained at the warehouse. These vehicles, which are the subject of this Claim, were delivered to WEC between October 20, 2009 and January 21, 2010. MTL states that titles to three of the

² In response to a request for supplemental information, the Claimant advised that "the remaining credit had been applied to future shipping cost for the cars that will be ships from savannah Georgia location." Notably, the Claimant has not made a request for a refund of ocean freight.

³ MTL states it "could not move the 4 cars at issue until titles had been received for all 4 cars at issue. MTL had never received any instructions from Jax or from Claimant to ship fewer than 4 cars to Aqaba, Jordan."

four vehicles were received as of January 28, 2010, but it appears there was an on-going disagreement between the Claimant and Jax as to whether the title to the Chevrolet Aveo was provided. The Claimant also states that he “called MTL to inform them they have the titles and they should look for it because it will take lots of time to apply for a duplicate. Back and forth with many story from both side who is responsible for losing the title.”

Jax notified the Claimant that the title was missing on at least five occasions in e-mails dated December 3, 2009; December 17, 2009; December 23, 2009; May 21, 2010; and July 9, 2010. In e-mail dated May 21, 2010, Jax provided the Claimant with a “Vehicle Inspection Sheet” issued by WEC indicating that the Chevrolet Aveo was received without a title.⁴ There is also an e-mail dated September 13, 2010 from MTL to the Claimant advising that the title was still missing. The Claimant eventually ordered and sent a duplicate title which MTL confirmed received by e-mail dated September 22, 2010.

After receipt of the missing title was confirmed, the Claimant provided instructions for the vehicles to be loaded and shipped. However, the Claimant was then informed by Jax that the cars could not be shipped until warehouse storage fees in the amount of \$10,000 were paid off. The Claimant, who complained he was never informed that storage were accruing until that time, was advised to contact MTL to negotiate the storage fees. Although a discounted rate of \$4,000 was offered, an agreement was not reached and the four vehicles continued to remain in storage for several more months. Then by e-mail dated March 18, 2011, MTL advised Jax that the subject vehicles “stored at MTL’s New Jersey warehouse ... are going to public auction[.]” The e-mail was then forwarded to the Claimant and the vehicles were eventually auctioned. As a result, the Claimant now seeks reparations in the amount of \$25,130.

⁴ The document states, “NOTE: Storage charge of \$10 per day if the car is left here more than 14 days.” Also, based on the information provided by Jax, it appears this document was first sent to the Claimant on May 21, 2010 and again on July 9, 2010.

II. DISCUSSION

The *pro se* Claimant alleges that the Respondents have violated 46 U.S.C. §§ 41104(2)(a) and 41102(c). More specifically, the Claimant alleges that Jax violated the Act by failing to ship the four subject vehicles, losing the title to his vehicle, and failing to provide timely notice of the storage charges. The Claimant alleges MTL violated the Act by losing the title to his vehicle and failing to provide timely notice of the storage charges.

Jax, which is also *pro se*, denies the alleged violations of the Act and it asserts that the subject vehicles were not shipped due to the Claimant's own failure to timely provide the missing vehicle title and to pay the outstanding storage charges. Jax further states that it did not fail to provide timely notification of the storage charges because it communicated that information as soon as it received such notification from MTL.

MTL, which is represented by counsel, asserts in its Answer that: (1) the Claimant lacks standing for this Claim; lacks capacity for this Claim; has not alleged a claim upon which relief can be granted; and has not pled its allegations with specificity; (2) WEC's warehouse operations are not part of MTL's NVOCC services and are not subject to the cited sections of the Act; (3) WEC's warehouse charges were known to Jax and imputed to the Claimant; and (4) Jax, not MTL, is the party liable to the Claimant. To the extent that MTL is found liable for reparations, it asserts a cross-claim against Jax for indemnification.

A. Determination Regarding Affirmative Defenses.

MTL has raised four affirmative defenses and it argues that the Claimant has neither the standing nor the legal capacity to bring this Claim; that the Claimant has not alleged a claim upon which relief can be granted; and that the Claimant has not pled its allegations with specificity. For the reasons set forth below, the affirmative defenses of MTL are stricken.

1. The Claimant has both standing and capacity to prosecute this Claim.

MTL argues that under Texas law, the Claimant does not have standing to bring this Claim. MTL notes that the Claimant describes himself as a sole proprietorship doing business as Sammy's Auto Sales in the State of Texas. MTL states, however, that there is no evidence indicating that Samir Abusetta is properly registered to conduct business in Texas as Sammy's Auto Sales. MTL asserts that the failure to properly register Sammy's Auto Sales renders its legal existence null and void. MTL also observes that there is no evidence demonstrating that Samir Abusetta is the proper party to bring this Claim on behalf of Sammy's Auto Sales. For these reasons, MTL submits that the Claimant lacks standing to bring this Claim.

MTL also argues that the Claimant lacks the legal capacity to prosecute this Claim. MTL explains that under Texas state law (i.e., Tex. Bus. & Com. Code § 71.201(a)), the Claimant's failure to properly register to do business in Texas prohibits him from maintaining legal action in Texas state court. MTL reasons that if the Claimant cannot file a claim in Texas state court, he should have even less capacity to file a claim with a federal agency outside of Texas.

Notwithstanding MTL's arguments based on Texas state law, the Claimant's standing and capacity to bring this Claim is determined by federal law. All Marine Moorings, Inc. v. ITO Corp. of Balt. and Md. Port Admin., 27 S.R.R. 342 (ALJ 1995). In All Marine Moorings, the respondent argued that the claimant lacked the capacity to bring the case because its corporate charter had been forfeited. Id. at 352. The respondent, citing Maryland law, asserted that the loss disabled the claimant from its powers. Id. The administrative law judge ("ALJ"), however, stated that "[t]he proper standard to apply regarding a person's standing to file a complaint is federal law, here, the Shipping Act of 1984 (and corresponding sections of the 1916 Act)." Id. The ALJ further commented that under Section 11(a) of the Act, "any person may file with the

Commission a sworn complaint[.]”⁵ Id.

The Claimant describes himself as a “sole proprietorship DBA Auto Dealer ... company name is Sammy’s Auto Sale ... owner is Samir Abusetta.” The caption itself identifies the Claimant as “Samir Abusetta dba Sammy’s Auto Sales.” In other words, the pleading clearly identifies the Claimant as the individual Samir Abusetta who is doing business as Sammy’s Auto Sales. Because individuals are included in the Act’s definition of “person,” I find that Samir Abusetta has both the standing and capacity to bring this action. See also Chilean Nitrate Sales Corp. v. Port of San Diego, 24 S.R.R. 920, 921 (FMC 1988)(“For the purpose of standing, it is sufficient for complainant to allege injury and charge the respondent with its cause.”)(citing Cargill, Inc. v. Waterman Steamship Corp., 21 S.R.R. 287, 300 (1981)).

2. The Claimant has stated a claim upon which relief can be granted and pled its allegations with sufficient specificity.

MTL argues that the Claimant has neither alleged a claim upon which relief can be granted nor pled its allegations with specificity. Although the Commission’s rules do not cover matters such as motions to dismiss for lack of subject matter jurisdiction or failure to state a claim, 46 C.F.R. § 502.12 provides that “the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice. [Rule 12.]” See also Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc., 32 S.R.R. 126 (FMC 2011).

In Mitsui, the Commission addressed the standard used in adjudicating motions for failure to state a claim upon which relief can be granted. The Commission stated:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” Bell Atlantic Corp. v. Twombly, 550 US 544, 570

⁵ The ALJ further explained, “In section 3(20) of the 1984 Act (and section 1 of the 1916 Act), ‘person’ is defined to include ‘individuals, corporations, partnerships, and associations existing under or authorized by the law of the United States’ The Commission does not administer state laws governing the standing of corporations[.]” All Marine Moorings at 352.

(2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” Ashcroft v. Iqbal, 129 S. Ct. 1937, 1949 (2009). The complaint must be sufficient to “give the defendant fair notice of what the ... claim is and the grounds upon which it rests.” Bell Atlantic, 550 US at 555 (quoting Conley v. Gibson, 355 US 41, 47 (1957)); see also 5 Charles Alan Wright & Arthur R. Miller, Federal Practice & Procedure Civ. 1215 (3d ed. 2010)(“[T]he test of a complaint’s sufficiency simply is whether the document’s allegations are detailed and informative enough to enable the defendant to response.”).

Id. at 136.

Here, the Claimant has alleged that the Respondents have violated the Act by failing to ship the four subject vehicles, failing to provide timely notice of the storage charges, and losing the title to his vehicle. With regard to MTL’s assertion that the Claimant did not plead his allegations with specificity, by e-mail dated April 29, 2013, the Claimant provided a more definite statement in which he further specified that both Jax and MTL failed to provide timely notification regarding storage charges and lost the title to his vehicle.⁶ Accordingly, I find that the Claimant has provided fair and sufficient notice for MTL to respond to the Claim and that he has stated a claim upon which relief can be granted.

Having determined that the affirmative defenses raised by MTL should be stricken, I will now consider the alleged violations of the Act.

B. Alleged violations of 46 U.S.C. § 41102(c).

The Claimant alleges that Jax and MTL caused him to suffer injury by violating 46 U.S.C. § 41102(c) which provides, “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable practices relating to or connected with receiving, handling, storing or delivering property.”

⁶ The Claimant provided this statement in his response to the previously designated settlement officer’s request for supplemental information.

1. Allegations against Jax.

The Claimant alleges that Jax violated 46 U.S.C. § 41102(c) by failing to ship his container, failing to provide timely notification regarding storage charges, and losing the title to his vehicle. In order for 46 U.S.C. § 41102(c) to apply to Jax's conduct, it must first be determined that Jax acted as a common carrier, marine terminal operator, or an ocean transportation intermediary ("OTI") with respect to this shipment.

a. Jax acted as an unlicensed OTI subject to 46 U.S.C. § 41102(c).

An OTI is defined by the Act as "an ocean freight forwarder or a non-vessel-operating common carrier." 46 U.S.C. § 40102(19). A non-vessel-operating common carrier ("NVOCC") is a "common carrier that does not operate the vessels by which the ocean transportation is provided and is a shipper in relationship with an ocean common carrier." 46 U.S.C. § 40102(16). The Act defines a "common carrier" as a person that:

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country[.]"

46 U.S.C. § 40102(6)(A). As a common carrier, NVOCC's are required to publish tariffs "showing all rates, charges, classifications, rules, and practices between all points or ports on their own routes and on any through transportation route that has been established." 46 C.F.R. § 520.3(a).

An ocean freight forwarder ("OFF"), on the other hand, is defined as a "person that in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers and processes the

documentation or performs related activities incident to those shipments.” 46 U.S.C. § 40102(18). The Act’s definition of an OFF is supplemented by 46 C.F.R. § 515.2(i) which describes common freight forwarding services. Furthermore, OFF’s “are fiduciaries ... who are required to observe the highest standards of behavior toward their principals, the shippers.” Yakov Kobel v. Hapag-Lloyd A.G., 32 S.R.R. 1720, 174 (FMC 2013)(quoting Nordana Line AS v. Jamar Shipping, Inc., 27 S.R.R. 233, 236 (ALJ 1995)).

The Claim alleges that “Sammy’s Auto Sale [sic] shipped many containers through Jax Auto shipping[.]” The evidence corroborates this statement as Jax (1) agreed to arrange for transportation of the Claimant’s vehicles for compensation, (2) took affirmative action to book the shipment with MTL,⁷ and (3) performed other OTI activities, such as issuing a dock receipt, arranging for warehouse storage, and sending export documentation to MTL. Because such activities are consistent with services provided by NVOCCs and OFFs, I find that Jax acted as an OTI subject to 46 U.S.C. § 41102(c).⁸ Since application of 46 U.S.C. § 41102(c) only requires a finding that Jax acted as an OTI, it is unnecessary to specifically determine whether it acted as an NVOCC or OFF.

b. Jax violated 46 U.S.C. § 41102(c).

Prior to September 22, 2010, the four subject vehicles tendered for shipment were not shipped due to a dispute over a missing vehicle title. According to the e-mails in the record, the Claimant received at least five e-mails between December 2009 and September 2010 advising that the title had not been received. Notwithstanding such notice, the Claimant did not provide a

⁷ The evidence indicates that Jax partially performed on the parties’ agreement as four of the eight vehicles described in the Claim were successfully loaded into a container and transported to Aqaba, Jordan.

⁸ Jax is not found in the FMC’s database of ocean transportation intermediaries. Although Jax may have violated 46 U.S.C. § 40901(a) by acting as an OTI without an FMC license, reparations cannot be awarded for this violation as it was not the proximate cause of the Claimant’s damages. Rose Int’l v. Overseas Moving Network Int’l Ltd., 29 S.R.R. 119, 187 (FMC 2001).

duplicate title until September 22, 2010 as he argued that the original title was lost by the Respondents. As a result of this delay, warehouse storage charges began accruing and the vehicles were ultimately auctioned by WEC at some point after March 18, 2011.

The Claimant alleges that Jax violated 46 U.S.C. § 41102(c) by failing to ship his vehicles. I preface my analysis by commenting that the failure to ship the vehicles was not a *per se* violation of the Act. If, for example, the vehicles were not shipped by reason of a cause beyond the control of Jax, it would not have been a violation of the Act. Underlying this allegation is the question of whether the vehicles failed to ship because Jax acted unjustly and/or unreasonably in contravention of the Act. With this in mind, I will first evaluate the Claimant's allegations that Jax violated the Act by losing the vehicle title and failing to provide timely notice of the warehouse storage charges.

First, I find that the Claimant has not demonstrated that Jax lost the title and that there is evidence to rebut any such allegation. For example, in an e-mail dated May 21, 2010, Jax provided the Claimant with a "Vehicle Inspection Sheet" issued by WEC indicating that the Chevrolet Aveo was received without a title. While it is entirely plausible that the Claimant undertook good faith efforts to provide the original title, this e-mail suggests that the title was not received by the Respondents or their respective agents (i.e., WEC). Numerous other e-mails were also sent to the Claimant between December 2009 and September 2010 advising that the title was missing before the duplicate was finally confirmed received on September 22, 2010. Because the Claimant has failed to prove by a preponderance of the evidence that Jax lost the vehicle title, this allegation is dismissed.

Next, I find that Jax failed to provide timely notice of the warehouse charges. The Claimant asserts that he was not aware of the charges until they had reached approximately

\$10,000 in September 2010. Jax also states it was surprised by the storage charges because he was “personally not informed about storage fees from MTL prior to this incident.” Although MTL refutes this assertion, it is not necessary to resolve this factual ambiguity for purposes of this discussion because Jax admitted to receiving copies of WEC Vehicle Inspection Sheets on December 15, 2009 which specifically indicate, “Storage charge of \$10 per day if the car is left here more than 14 days.” As an OTI, Jax had the obligation to make such charges known to the Claimant whether through a tariff or by advising the Claimant of such charges when it knew or should have known about them. The evidence shows that Jax delayed approximately five months before providing notice of those charges to the Claimant on May 21, 2010. As such, I find that Jax violated the Act by unreasonably failing to give timely notice of the storage charges to the Claimant.

Finally, I address whether Jax violated the Act by failing to ship the vehicles. Although I have found that Jax failed to provide timely notice of the storage charges, I do not find that Jax acted unjustly or unreasonably so as to proximately cause the failure to ship. To the contrary, I find that the Claimant’s own inaction prevented the vehicles from being shipped and caused the accrual of storage charges which ultimately led to the auction of his vehicles.

As stated earlier, there is insufficient evidence to conclude that Jax lost the title to the vehicle and the e-mail communications indicate that the Claimant was timely advised that the vehicle title was missing. In his response to a request for supplemental information, the Claimant admitted to knowing that Jax required titles for vehicles and further elaborated, “In order to ship a car oversea [sic] you need a title for custom clearance[.]” Notwithstanding such knowledge, the Claimant failed to provide a duplicate title until September 2010, approximately ten months after he was originally notified of the missing title in December 2009. Since Jax did

not have the requisite title, it could not have shipped the vehicles prior to September 2010.

Shortly after the title was received by MTL, the Claimant was informed that the vehicles could not be shipped until WEC storage charges were paid in full. Notwithstanding Jax's unreasonable failure to timely notify the Claimant of the storage charges, the Claimant has failed to demonstrate how this failure caused him to delay in providing the missing vehicle title. In fact, even after receiving a notice of copy of the WEC inspection sheet from Jax on May 21, 2010, the Claimant did not produce a duplicate title until September 20, 2010. In light of the Claimant's inaction with respect to providing a title, I find no basis to find that Jax violated the Act by failing to ship the vehicles.

2. MTL did not violate 46 U.S.C. § 41102(c).

The Claimant alleges that MTL also violated 46 U.S.C. § 41102(c) of the Act by losing the title to his vehicle and failing to provide timely notice of the storage charges. With respect to the allegation that MTL violated the Act by losing the vehicle title, I find that there is insufficient evidence to reach such a conclusion. As explained earlier, the submitted evidence includes a "Vehicle Inspection Sheet" issued by WEC indicating that the Chevrolet Aveo was received without a title. Contrary to the Claimant's assertions, this Vehicle Inspection Sheet suggests that neither MTL nor its agent, WEC, received the title prior to September 20, 2010.

As to the allegation that Jax violated the Act by failing to provide timely notice of the warehouse charges, the evidence does not support such a finding. The Claimant states in his Claim that he directly engaged Jax to arrange for the transportation of the subject vehicles. Subsequently, Jax booked the shipment with MTL, a fact confirmed by the Affidavit of Alla Solovyeva, President of MTL.⁹ While it is not clear from the evidence whether MTL believed

⁹ Although MTL may have violated 46 U.S.C. § 41104(11) by accepting cargo from an unlicensed OTI, reparations cannot be awarded for this violation as it was not the proximate cause of the Claimant's damages. Rose Int'l at 187.

Jax was the beneficial cargo owner or an OTI, in either scenario, MTL was not responsible for conveying shipping-related information to the Claimant absent specific instructions. As the Claimant's selected OTI, it was incumbent upon Jax (and not MTL) to provide notice of the storage charges to the Claimant. As stated earlier, I find that MTL did provide timely notice of the storage charges to Jax as it provided Vehicle Inspection Reports issued by WEC to Jax as early as December 15, 2009.

C. Alleged violations of 46 U.S.C. § 41104(2)(a).

The Claimant alleges that Jax and MTL caused him to suffer injury by violating 46 U.S.C. § 41104(2)(a) which provides, "A common carrier, either alone or in conjunction with any other person directly or indirectly, may not provide service in the liner trade that is not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under chapter 405 of this title, unless excepted or exempted under section 40103 or 40501(a)(2) of this title."

1. Jax did not violate 46 U.S.C. § 41104(2)(a).

The Claimant alleges that Jax violated 46 U.S.C. § 41104(2)(a) by failing to ship his container to Jordan. In order for this statutory provision to apply to the conduct of Jax, it must be found that Jax was acting as a "common carrier" and that it did not provide service consistent with "a tariff published or a service contract[.]" Even assuming *arguendo* that Jax acted as an unlicensed NVOCC, Jax did not publish a tariff or enter into a service contract. Since 46 U.S.C. § 41104(2)(a) assumes the existence of a published tariff or filed service contract, I find that Jax could not have violated this statutory provision. See Carton-Print, Inc. v. Austasia Container Express Steamship Co., 20 F.M.C. 31, 36 (ALJ 1977)(finding that section 18(b)(3) of the

Shipping Act, 1916,¹⁰ which required carriers to adhere to the rates specified in their tariffs, could not have been violated if the respondent did not have a tariff on file with the Commission).

2. MTL did not violate 46 U.S.C. § 41104(2)(a).

The Claimant alleges that MTL also violated 46 U.S.C. § 41104(2)(a), although it is unclear from the Claim and supplemental responses which specific acts support this allegation. MTL, in response, argues that because the WEC warehouse operations are not part of MTL's NVOCC services, 46 U.S.C. § 41104(2)(a) has no relevancy here. As part of its argument, MTL has provided evidence showing that WEC is a distinct company. However, the evidence also shows that MTL directed Jax to have the Claimant's vehicle delivered and stored at WEC's facility. It is also significant that WEC invoiced MTL directly for the storage charges as it confirms that WEC was the vendor selected by MTL to provide a portion of the services (i.e., storage and loading) provided by MTL.

Although I agree with MTL that 46 U.S.C. § 41104(2)(a) is inapplicable in this instance, I differ in my reasoning. As explained earlier, 46 U.S.C. § 41104(2)(a) assumes the existence of a published tariff. See Carton-Print, Inc. v. Austasia Container Express Steamship Co., 20 F.M.C. 31, 36 (ALJ 1977). Based on MTL's submissions, however, it appears that a tariff relating to the WEC storage charges was not published at the time the subject vehicles were delivered to the warehouse. In fact, MTL asserts, "Because the WEC warehouse operation and resultant storage charges are not part of or integrated into the MTL NVOCC services offered to its customers, there is no requirement that the WEC storage charges be included in the MTL web-site tariff."¹¹ While I do not agree with the statement as a whole, MTL nonetheless

¹⁰ The corresponding section in the Shipping Act of 1984 is 46 U.S.C. § 41104(2)(a).

¹¹ For the sake of clarity, the issue is not whether MTL failed to comply with tariff publication requirements under the Act. Rather, it is whether MTL failed to provide service in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published.

concedes that a tariff relating to the WEC storage charges was not published at the relevant time.¹² Without an applicable published tariff, MTL could not have violated 46 U.S.C. § 41104(2)(a) and this allegation is therefore dismissed.

D. Reparations

In order to receive reparations, the Claimant must provide reliable evidence proving that the violation of the law was the proximate cause of his damages. Rose Int'l v. Overseas Moving Network Int'l Ltd., 29 S.R.R. 119, 187 (FMC 2001)(stating that to be awarded reparations, a Complainant must prove actual loss or injury and that the violation of law was the proximate cause of the same with reasonable certainty). Here, the Claimant seeks reparations in the amount of \$25,130.00. This figure includes the alleged cost of each of the four respective vehicles, plus approximately \$2,000 lost profit on each vehicle, and an additional \$8,000 in unspecified damages.

The Claimant has demonstrated that Jax violated the Act by failing to provide timely notice of the warehouse storage charges. However, the Claimant has not demonstrated that the failure to provide such notice proximately caused both the accrual of storage charges and the failure to ship. Unfortunately for the Claimant, it appears that his own inaction caused both of these events.

As explained above, the Claimant was aware that a title was necessary for the vehicles to be loaded and shipped. Notwithstanding his belief that the Respondents had received and lost the original title, the Claimant received timely notice that the title was missing and he was sent several reminder notices thereafter. Instead of promptly attempting to order a duplicate title, he elected to argue about it for ten months. Once the duplicate title was received by MTL, he was

¹² As of October 2011, MTL published a tariff for "CARGO STORAGE," which includes STORAGE CHARGES AT BAYONNE, NJ. However, this tariff was published well after the subject vehicles were delivered to WEC.

informed of the outstanding storage charges which were approximately \$10,000 at that time. He then had an opportunity to settle those charges for \$4,000 but he chose not to do so. Several months later, the vehicles were auctioned and the Claimant then filed this Claim.

Under the law, the Claimant had a duty to mitigate his damages. Rose Int'l at 191 (stating that parties should not be able to recover damages for losses they "could have reasonably avoided without an undue risk or burden"). Even assuming *arguendo* that the Respondents proximately caused the failure to ship the vehicles, the Claimant could have mitigated his damages by paying the discounted storage charges. In the alternative, the Claimant could have mitigated damages by promptly producing a duplicate title so that the vehicles could be loaded and shipped. However, the Claimant did not take prompt and reasonable measures to avoid undue risks even after receiving notice of the storage charges on May 21, 2010. As such, I find that the Claimant is not entitled to reparations as he has not demonstrated that Jax's violation of the Act was the proximate cause of his injuries.

III. CONCLUSION

For the reasons set forth above, I find that Jax acted as an unlicensed OTI and that it violated 46 U.S.C. § 41102(c) by failing to provide timely notice regarding the warehouse storage charges. However, I find that the Claimant has failed to demonstrate that this violation proximately caused his actual injuries. I further find that the Claimant failed to mitigate his damages and that his own inaction caused his injuries. Therefore, the Claimant's request for reparations is denied. All remaining allegations against Jax and MTL are dismissed. Since there is no basis for an indemnity claim under this decision, MTL's cross-claim against Jax for indemnity is likewise dismissed.

Philip Lee
Settlement Officer